

Living Wage Update Report: Rural Uganda, Lake Victoria Basin, 2025

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Cost of decent standard
of living for a family

UGX 1,248,713
(USD 346)



Living wage
per month

UGX 928,500
(USD 257)



Photo by Azfar Khan

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By:

*Raphaela Nina Andersen**

*Lykke E. Andersen***

*Marcelo Delajara****

*Richard Anker*****

*Martha Anker*****

Abstract:

This report provides updated estimates of family living expenses and living wages for the Lake Victoria Basin in rural Uganda. The update for 2025 takes into account inflation and changes in payroll deductions since the original Anker living wage study carried out in September 2019 (Khan and Buyinza, 2019).

Keywords: Living costs, living wages, Anker Methodology, Uganda

JEL classifications: J30, J50, J80.

* SDSN Bolivia, E-mail: raphis.com.bo@gmail.com

** SDSN Bolivia, E-mail: Lykke.E.Andersen@gmail.com

*** Anker Research Institute, E-mail: mdelajara@ankerinstitute.org

**** Anker Research Institute, E-mail: marthaandrichard@gmail.com

1. BACKGROUND

This report updates family living expenses and the Anker living wage to 2025 for rural areas in the Lake Victoria Basin, Uganda (Khan and Buyinza, 2019). The update takes into account the cumulative inflation rate since the original study in September 2019. This is done by updating the September 2019 family living expenses and net living wage to June 2025 by inflation. Without accounting for inflation, the net living wage estimated in 2019 would not be sufficient for workers to have a basic but decent standard of living in 2024 because the purchasing power of the living wage estimate would have decreased. The gross living wage (aka living wage) is updated to 2025 by also taking into consideration income taxes and mandatory deductions that workers would need to pay on the updated 2025 living wage. This is done using the laws in effect in June 2025.

2. LIVING WAGE ESTIMATE IN THE ORIGINAL REPORT FROM SEPTEMBER 2019

The original living wage report, focusing on the floriculture industry of the Lake Victoria Basin, estimated the expenses for a basic but decent standard of living for the reference family of two adults and three children at UGX 989,298 per month in September 2019. The net living wage, which is the required take-home pay for workers for decency, was estimated at UGX 555,786 per month. The gross living wage, which also takes into account mandatory deductions from pay was estimated at UGX 652,311 per month (Khan and Buyinza, 2019).

3. INFLATION RATE USED FOR UPDATE

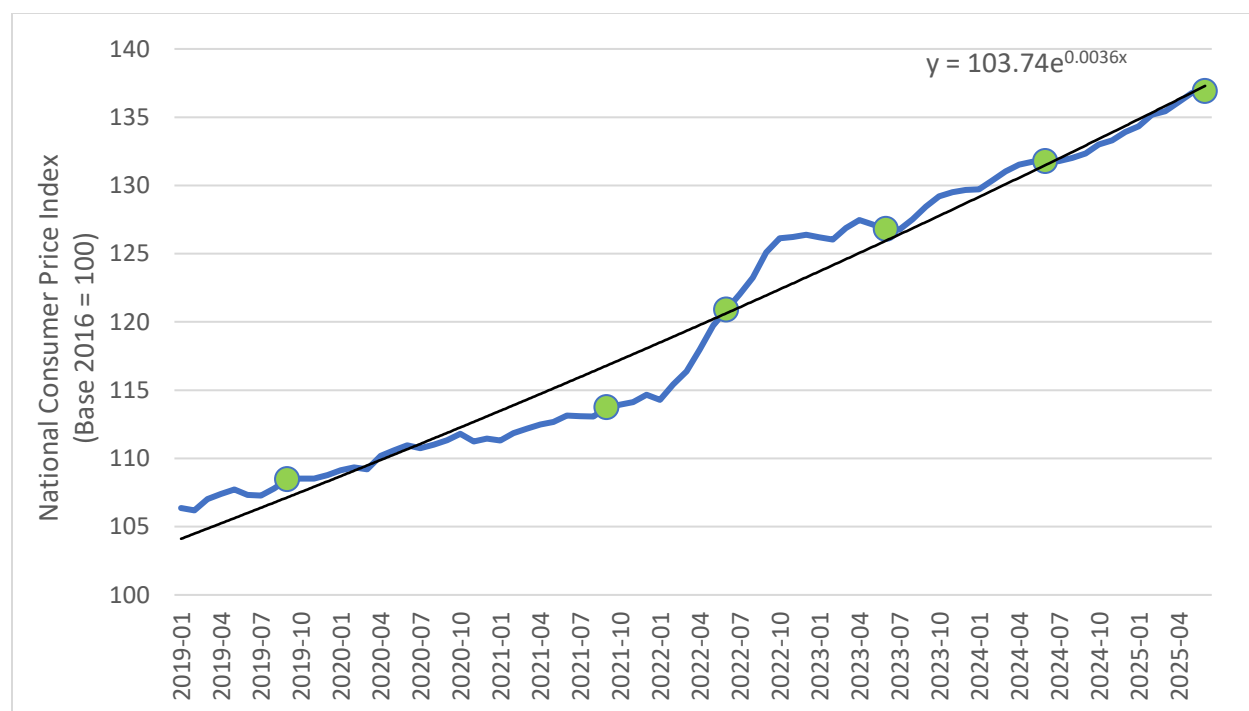
The Uganda Bureau of Statistics (UBOS)¹ reports several consumer price indices (CPI) for Uganda at different levels of geographical disaggregation. UBOS uses expenditure weights derived from the Uganda National Household Survey (UNHS IV) that was conducted from May 2009 to April 2010. It reports a national index and indices for 10 urban centers (Kampala High Income, Kampala Middle Income, Kampala Low Income, Masaka, Mbarara, Jinja, Mbale, Gulu, Arua, Fortportal). As this update focuses on a rural part of Uganda, we use the National CPI Index as it is the most representative for this purpose.

4. RECENT LEVEL OF INFLATION

Between September 2019 and June 2025, inflation in Uganda was 26.2% (see Figure 1). This is the cumulative inflation rate used in this report.

Figure 1: National Consumer Price Index for Uganda from January 2019 to June 2025

¹ See <https://www.ubos.org/explore-statistics/30/>



Notes: Green circles indicate the months of the original study and the earlier updates. The black line is the fitted exponential trendline.

Source: Authors' calculations based on CPI data from Uganda Bureau of Statistics (UBOS).

5. MANDATORY DEDUCTIONS

As was the case in the original living wage report, all wages in Uganda are subject to a 5%² deduction for social security (NSSF).³ Additionally, as in the previous update, workers earning a living wage fall into the range from UGX 410,000 to UGX 10,000,000 per month, which is subject to a fixed income tax of UGX 25,000 plus 30% on the excess over UGX 410,000.⁴

6. UPDATED LIVING WAGES AND FAMILY EXPENSES FOR 2025

The updated family living income expenses for June 2025 is UGX 1,248,713 per month. The gross living wage (aka living wage), which takes into account mandatory payroll deductions, is UGX 928,500 per month for June 2024.

Table 1 provides details of the original and the updated living wages and family living expenses.

² See <https://taxsummaries.pwc.com/uganda/individual/other-taxes>.

³ We increased the 2019 original study value of in-kind benefits by the cumulative inflation rate between 2019 and 2025.

⁴ See <https://taxsummaries.pwc.com/uganda/individual/taxes-on-personal-income>.

Table 1: Family Living Expenses and the Living Wage for rural Uganda, Lake Victoria Basin (in Uganda Shillings and US Dollars)

	September 2019 Original Study Date		2024 Update Report		2025 Update Report	
Currency	UGX	USD	UGX	USD	UGX	USD
Family Living Expenses (1)	989,298	269	1,201,938	320	1,248,713	346
Net Living Wage (2)	555,786	151	675,247	180	701,525	194
Total mandatory deductions and income tax (3)	96,525	26	212,825	57	226,975	63
Gross Living Wage (2+3)	652,311	177	888,072	236	928,500	257
Exchange Rate to USD	3,675.42		3,755.61 ^a		3,611.36 ^a	
Source of Exchange Rate	Original Report		Bank of Uganda		Bank of Uganda	

Note: USD values are indicative only, because exchange rates may be volatile.

^a The exchange rate is the average exchange rate for the month of June.

Source: Authors' calculations.

7. REFERENCES

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- Khan, A., & Buyinza, F. (2019) *Living Wage Report: Lake Victoria Basin, Rural Uganda with focus on Floriculture Industry*. Global Living Wage Coalition. Available online: <https://www.ankerresearchinstitute.org/uganda-benchmarks/livingwageupdate20220428-pgll3-3lz4x-4a6d5-mlysf-n9nk7-6l2tg-zdeby-5sekk-agrp7-rrs6c-aabpg-latt9-jtbaw-e2xgc-3e68l-whxlc-7c7ra-h9f5x-78kf2-9m882-8anf8-n4nyw-x3btz-wkm4g-chfkc-ewmbh>